WAVERLEY GATEWAY GUIDE

Connecting International Capital

VANUATU

Oceania

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Port Vila (Efate)	Capital and commercial centre, home to most of the 927 foreign-owned businesses on Efate and the hub for government, finance and tourism	Tourism, ICT, wholesale and retail, financial services, construction
Efate ring road and hinterland	Island ring road under a newly signed rehabilitation contract, opening coastal land for resorts and agriculture	Resorts, agriculture, road construction
Luganville and Espiritu Santo	Second town and northern gateway, with an international wharf and the Pekoa Airport upgrade, which the government continues to treat as a priority	Agribusiness (beef, copra, cocoa, kava), port logistics, dive tourism
Tanna	Southern island known for the Mount Yasur volcano, with land acquired for the Whitegrass airport upgrade	Adventure and cultural tourism, coffee, aviation services
Malekula	Large northern island where the Norsup Airport works and rural roads are being completed	Agriculture, rural trade, transport
Outer islands and Exclusive Economic Zone	A dispersed archipelago with a large ocean area and growing expedition-cruise and agricultural export potential	Fisheries, cruise and eco-tourism, ginger and spices

INVESTOR ENTRY ROUTES

- Vanuatu Investment Promotion Authority (VIPA), which promotes investment, provides facilitation and approves foreign investors under the Foreign Investment Act 2019
- Most sectors are open: 15 activities are reserved for ni-Vanuatu citizens and 26 are restricted to conditions, with a review under way that may open mining and utilities to joint ventures
- No corporate or personal income tax (a 0% rate), with a 15% value added tax as the main indirect tax
- The vatu is managed by the Reserve Bank of Vanuatu under a basket peg, with reserves kept above a minimum of four months of import cover
- Leasehold land access through negotiated leases with customary landowners, which should be secured with specialist legal advice
- Public works and resilience projects co-financed by Australia, New Zealand, the ADB, the World Bank, Japan, the EU and the Green Climate Fund

MARKET-ENTRY OBSERVATION

Vanuatu combines a zero income tax regime with an open investment framework, a pegged currency and growing infrastructure investment, giving it a distinctive position among Pacific economies. The government estimates growth of 3.7% in 2025 and forecasts 3.9% in 2026, as reconstruction after the December 2024 Port Vila earthquake, resumed cruise calls and stronger agriculture and industry lift activity; the IMF's 2025 assessment was more cautious, at 1.7% and 2.8%. Inflation was just 0.8% in the December 2025 quarter, the Reserve Bank has held its policy rate at 2.75%, and gross reserves stood at VT82.6 billion in March 2026. The 2026 budget targets record recurrent revenue of VT46.8 billion, and the Nakamal Agreement signed with Australia in June 2026 provides A$500 million of support over ten years.

Vanuatu's main structural challenge is to broaden its revenue base and secure its links to the international financial system. Citizenship programme sales have been the largest single source of government revenue, VT10.4 billion by mid-2025, but the Reserve Bank identifies pressure on correspondent banking relationships as a major risk, and in September 2025 an Australian correspondent bank stopped processing transfers for citizenship agents. Vanuatu has been on the EU list of high-risk third countries for anti-money laundering since 2016, although the FATF removed it from its grey list in 2018. The government is strengthening the Financial Intelligence Unit and has a fiscal reform agenda supported by the IMF, while a review of investment restrictions, accession to the EU–Pacific interim EPA and infrastructure investment create openings in tourism, agribusiness and resilient construction.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Correspondent banking and AML standing	Correspondent-banking pressure is a major financial-stability risk, and Vanuatu remains on the EU high-risk third-country list despite leaving the FATF grey list in 2018	Bank with established international groups, keep full source-of-funds documentation and plan payment routes before committing capital
Political instability	Prime Minister Napat is the fifth premier in five years, and a no-confidence motion was lodged in November 2026	Engage across the coalition and with permanent officials; reforms to strengthen stability and Australian and IMF support provide continuity
Reliance on citizenship revenue	Citizenship sales are the largest single revenue source, and the IMF describes a structural decline and governance concerns	The 2026 budget targets record revenue and the IMF-backed reform agenda aims to diversify the tax base; monitor any new taxes
Natural hazards	Cyclones, volcanoes and earthquakes, including the December 2024 Port Vila earthquake, damage infrastructure and disrupt tourism	Build to seismic and cyclone standards, insure through regional and parametric schemes, and target the reconstruction pipeline
Public debt and state enterprises	The IMF projects public debt of 52.2% of GDP in 2026 and points to the cost of Air Vanuatu	Concessional finance and a medium-term consolidation plan mitigate risk; check the payment record of state counterparts
Customary land	Land in Vanuatu belongs to its customary owners, so leases require negotiation with landowners and disputes can delay projects	Use registered leases with clear title searches and local counsel, and build community benefit into projects
Connectivity	Limited inter-island air services and airport and wharf constraints raise logistics costs	Airport, road and fleet investments are under way; plan for shipping redundancy and seasonal schedules

INVESTOR RISK NOTE

Vanuatu offers investors no income tax, low inflation, a pegged currency and an investment regime open to most sectors, backed by a new ten-year A$500 million agreement with Australia and continued support from the ADB, World Bank, New Zealand, Japan and the EU. The main considerations are political instability, with frequent changes of prime minister and a no-confidence motion lodged in November 2026; reliance on citizenship sales for revenue; and pressure on correspondent banking, which the Reserve Bank describes as a major risk. Vanuatu remains on the EU list of high-risk third countries for anti-money laundering, so EU-regulated investors face

enhanced due diligence, although it is not on the FATF grey list. Exposure to cyclones, earthquakes and volcanic activity is a constant planning factor and also drives a large reconstruction and resilience programme. There are no international sanctions restricting investment in Vanuatu.

MARKET ACCESS

Vanuatu is a WTO member and a party to the Pacific Island Countries Trade Agreement and Melanesian Spearhead Group trade arrangements, and it ratified PACER Plus, the regional trade and development agreement with Australia and New Zealand, in October 2022. In October 2025 the EU Council approved Vanuatu's accession to the EU–Pacific interim Economic Partnership Agreement, which will give duty-free, quota-free access to the EU once both sides complete their procedures and provisional application begins. Exports are led by agricultural products such as kava, copra, beef and cocoa, with new lines such as powdered ginger emerging, while tourism, mainly from Australia and New Zealand, is the main services export. Port Vila and Luganville handle international shipping, and Bauerfield International Airport links Port Vila with Australia, New Zealand and Fiji.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Prime Minister Jotham Napat)	Leads a five-party coalition formed in February 2025 after a snap election, and signed the Nakamal Agreement with Australia in June 2026	Primary reference point for national priorities and major projects
Vanuatu Investment Promotion Authority (VIPA)	Approves and facilitates foreign investment under the Foreign Investment Act 2019 and is reviewing the reserved and restricted lists	Standard first point of contact for market entry
Reserve Bank of Vanuatu	Manages the basket peg, the 2.75% policy rate and bank supervision, and leads work on correspondent-banking risks	Key counterpart on banking, payments and financial-sector entry
Ministry of Finance and Economic Management (Deputy Prime Minister Johnny Koanapo)	Leads the budget, revenue policy, debt and development-partner financing	Relevant for tax, public-private partnerships and co-financed projects
Financial Intelligence Unit	Leads anti-money laundering supervision and screens citizenship applicants, and is being strengthened by the government	Important for compliance planning and the path off the EU high-risk list
Vanuatu Tourism Office	National tourism marketing body supporting the recovery of air and cruise arrivals	Partner for resort, cruise and aviation investments
Air Vanuatu	State-owned airline being stabilised, with fleet repairs and two new Twin Otters for domestic routes	Counterpart for aviation, tourism access and outer-island logistics

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Vanuatu Chamber of Commerce and Industry is the main private-sector body and a channel for dialogue with government, while VIPA organises investor facilitation and promotional events. Australia, through the Nakamal Agreement, and New Zealand are the largest bilateral partners, alongside France, Japan, China and the EU, and their missions in Port Vila provide useful introductions. The Asian Development Bank, which in October 2026 launched a new five-year strategy covering Vanuatu and 11 other Pacific countries, and the World Bank finance infrastructure, resilience and private-sector programmes, and the Green Climate Fund supports adaptation projects. Regional forums such as the Pacific Islands Forum and the Melanesian Spearhead Group offer wider networks.

INVESTOR PROFILE BEST SUITED

Vanuatu suits investors comfortable with a small, island market who value a zero income tax base: resort, eco-tourism and cruise-related investors targeting Australian and New Zealand visitors; agribusiness and food

processors in beef, kava, cocoa, coffee and spices; construction and engineering firms able to work on reconstruction, roads, airports and wharves funded by development partners; and renewable energy and telecommunications investors. Investors should have strong compliance systems and established banking relationships to manage correspondent-banking and AML considerations.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage VIPA and confirm eligibility
Check the reserved and restricted lists, including the outcome of the current review, and obtain foreign investment approval before trading.

STEP 2: Secure banking and payment routes first
Open accounts with an established bank and confirm correspondent channels for capital, dividends and supplier payments in the currencies you need.

STEP 3: Conduct thorough land and title due diligence
Negotiate registered leases with customary landowners through experienced local counsel, with community benefits agreed at the outset.

STEP 4: Target development-partner pipelines
Map reconstruction, transport and resilience projects funded by Australia, New Zealand, the ADB, the World Bank and Japan.

STEP 5: Plan for political and natural-hazard contingencies
Engage across the coalition and officials, and design and insure assets for cyclone, seismic and volcanic risk.